

Manchester United plc (NYSE: MANU)

Equity Research Report

Self-Directed Valuation Analysis

September 07, 2026

Investment Recommendation

Ticker	NYSE / MANU
Current Price (USD)	\$20.90
12-Month Target Price	\$14.31
Implied Return	-31.5%
Rating	UNDERWEIGHT / HOLD

Executive Summary

We initiate coverage of Manchester United plc with an Underweight/Hold rating and a 12-month price target of \$14.31, implying -31.5% downside from current levels.

Our unlevered DCF valuation yields a base case price of \$14.31 (using a 12.5x exit EBITDA multiple), substantially below the stock's current trading price of \$20.90. The divergence reflects a fundamental disconnect between MANU's operational cash generation and its valuation in public markets, where it commands a significant *trophy asset premium* largely driven by private-market multiples paid by controlling shareholders.

Key Investment Thesis: While INEOS-led operational improvements and the Adidas contract extension provide a path for EBITDA expansion, Manchester United's cash-generative capacity remains severely constrained by the capital intensity required to compete at elite European level. Free cash flow conversion is dampened by recurring player amortisation (£190m p.a. run-rate) and substantial net transfer spending (£140m p.a.). The club's dividend capacity and shareholder returns are therefore highly contingent on near-term sporting success—particularly UEFA Champions League qualification.

Company Overview

Manchester United is one of the world's most valuable sports franchises, operating across premium football, global commercial partnerships, and broadcast licensing. The club competes in the English Premier League (tier 1 domestic competition) and European tournaments, with revenue streams spanning:

- **Commercial:** sponsorships, kit deals (Adidas), retail, and IP licensing
- **Broadcasting:** Premier League, UEFA, and international broadcast rights
- **Matchday:** Old Trafford stadium ticket revenues

The company is controlled by the Glazer family, with INEOS (Sir Jim Ratcliffe) acquiring a 28.9% stake in early 2024 at an implied equity value of \$1,025m (\$33.00 per share). This transaction validated the premium private-market valuation but does not necessarily justify current public equity pricing.

Financial Analysis

Historical Performance (FY23–FY25E)

Total revenue has grown from £648.4m (FY23) to £666.5m (FY25E), an average annual growth rate of 1.4%. This sluggish top-line expansion masks volatile underlying dynamics:

- **Commercial:** benefiting from expanded sponsorship (e.g. TeamViewer shirt deal extension, Adidas premium pricing)
- **Broadcasting:** volatile due to Champions League participation; FY24 saw a sharp drop due to non-qualification; FY25 recovers modestly
- **Matchday:** relatively stable at £135–160m, constrained by Old Trafford capacity (74,000)

Adjusted EBITDA remains fragile, and net debt stands at £631.9m as of FY25E, consisting primarily of senior secured notes (£308.9m) and a £162.9m term loan.

Forecast Assumptions (FY26–FY30E)

Our forecast reflects conservative assumptions around Manchester United's ability to drive sustainable EBITDA expansion:

Driver	Assumption	Sensitivity
Revenue Growth	1.5–2.0% p.a.	High
Broadcasting Path	£230m by FY28E	CRITICAL
Wage-to-Revenue	45.0% by FY30E	
Player Amortisation	£190m run-rate	Low
Net Transfer CapEx	£140m p.a.	Medium

The most material assumption is **Champions League qualification**. Non-qualification in FY24 resulted in £10m penalty deductions and £45–50m lower broadcast revenue. Returning to European football by FY28E is *critical* to hitting our EBITDA and FCF targets.

Revenue Drivers & European Qualification

- **Commercial Expansion & Penalties:** Sponsorship is modelled to grow at a steady 2.5–3.0% p.a., anchored by the Qualcomm Snapdragon sponsorship baseline. Retail and merchandising are modelled at a flat 5.0% p.a., reflecting margin expansion from the new SCAYLE e-commerce platform. Crucially, a £10m penalty is deducted from Adidas-linked revenue in FY26E and FY27E, reflecting the assumption that the club misses UEFA Champions League (UCL) qualification during this rebuilding phase.
- **Broadcasting Trajectory:** Media revenue is modelled on a strict sporting-performance binary: FY26E drops to £145m (domestic competitions only), rebounding to £185m in FY27E (Europa League), and stabilising between £230m and £240m from FY28E onward. This assumes a return to the 36-team UCL Swiss model, underpinned by the new £6.7bn domestic broadcast cycle and a 27% uplift in international rights.
- **Matchday Yields:** Revenue scales from £135m to £175m over the forecast period, driven by the return of European fixture volume to Old Trafford and a 2.5% annual inflation escalator applied to general admission and executive hospitality yields.

Operating Margins & Restructuring

- **Wage-to-Revenue Compression:** Employee benefit expenses are modelled to fall from 50.0% of revenue in FY26E to a sustainable 45.0% by FY30E, tracking the execution of INEOS's corporate headcount rationalisation programme and stricter squad wage controls.
- **Other Operating Expenses:** Modelled between 23.8% and 24.3% of total revenue. This isolates the variable costs of hosting games, peaking slightly in years with higher domestic cup or European matchday volumes.

Capital Intensity & Non-Cash Charges

- **Net Player Intangible CapEx:** Fixed at an outflow of £140m annually, representing a disciplined, steady-state transfer budget cap (cash spent on acquisitions minus cash received from sales) enforced by the new football operations team.
- **Player Amortisation:** Forecast to increase gradually from £170m to £190m, tracking the carrying value of the squad as the £140m annual net cash investment replaces fully amortised legacy contracts.
- **Tangible CapEx & Depreciation:** Assumes a flat £20m annual cash outlay for baseline stadium and Carrington maintenance, with corresponding depreciation scaling from £16m to £18m. This explicitly excludes a full-scale Old Trafford rebuild.

Tax & Working Capital

- **Effective Tax Rate:** Applies the UK statutory corporate tax rate of 25.0% strictly to periods of positive EBIT to calculate NOPAT, deliberately excluding deferred tax assets to ensure a clean, unlevered operating cash profile.
- **Net Working Capital:** Assumes a flat £5m annual cash drag, reflecting the minor working capital requirements of scaling the commercial and e-commerce revenue base.

Valuation Methodology

We employ an Unlevered Discounted Cash Flow (DCF) approach, valuing Manchester United on an enterprise-value basis:

WACC Calculation

$$\begin{aligned}\text{Cost of Equity} &= 4.25\% + 0.779 \times 5.25\% = 8.34\% \\ \text{After-Tax Cost of Debt} &= 6.50\% \times (1 - 0.25) = 4.88\% \\ \text{WACC} &= 0.87 \times 8.34\% + 0.13 \times 4.88\% = 7.70\%\end{aligned}$$

Assumptions:

- **Risk-Free Rate:** 4.25% (UK 10-year gilt)
- **Unlevered Beta:** 0.70 (sports/entertainment peer average)
- **Equity Risk Premium:** 5.25%
- **Target D/E:** 15%

Terminal Value

Exit Multiple Approach (Base Case): Assumes 12.5x exit EBITDA (historical peer average):

$$\begin{aligned}\text{Enterprise Value} &= \text{PV of Explicit FCF (FY26–FY30)} + \text{PV of Terminal Value} \\ &= 163.8m + 1,000.5m \\ &= 1,164m\end{aligned}$$

Less: Net Debt (£631.9m) = £532m Implied Equity Value
Diluted shares: 172.4m

Implied Share Price: \$14.31 USD

Key Findings & Investment Thesis

Fundamental Valuation Gap

Our base-case DCF generates a valuation of \$14.31 per share. Current market price of \$20.90 implies either:

1. Market-implied assumptions significantly more bullish than our model
2. Investor premium for “trophy asset” and control-premium optionality
3. Valuation inefficiency

We believe (2) is dominant. The INEOS stake at \$33/share has become a floor for valuations. However, *a strategic minority stake and full control are not equivalent*: minority shareholders face limited upside under current dynamics.

Operating Reality vs. Multiple Expansion

Manchester United’s operations are constrained by football economics:

- **Player Amortisation (£190m p.a.):** Reflects acquisition-based depreciation. Cannot be dialled down without implying declining squad quality—unsustainable.
- **Net Transfer CapEx (£140m p.a.):** Represents net player acquisition spending. Conservative relative to competitive norms.
- **Wage Rationalisation:** INEOS target of 45% wages-to-revenue by FY30E is materially harder than it appears, requiring active player departures that risk on-pitch performance.

Free cash flow remains structurally weak: average FY26–FY30 FCF is only £24m p.a., despite revenue growth. This is not a high-yielding equity; it is a leveraged bet on sustained European football success.

Public vs. Private Disconnect

The stock currently prices at a significant multiple to fair value. This is defensible only if:

- INEOS achieves operationally transformative restructuring
- A full take-private occurs at \$30–35/share
- European football monetisation accelerates significantly

None are implausible, but each requires catalysts beyond Manchester United's own fundamentals. As a pure public-equity investment, the stock does not justify current valuation on traditional dividend/appreciation metrics.

Sensitivity Analysis

Valuation sensitivity to key drivers:

Scenario	WACC	Exit Multiple	Price
Bear Case	8.50%	11.0x	\$9.87
Base Case	7.70%	12.5x	\$14.31
Bull Case	7.50%	14.0x	\$16.52

Even under bull-case assumptions, implied price remains below current trading levels.

Key Catalysts & Risks

Catalysts (6–12 months)

1. **Champions League Qualification:** Returning by FY28E adds £45–50m broadcast revenue annually—existential to DCF.
2. **INEOS Operational Milestones:** Wage bill reduction, academy commercialisation, stadium licensing.
3. **Adidas Performance Clauses:** Full compliance unlocks incremental value.

Downside Risks

1. **Stadium Infrastructure:** Model assumes £20m p.a. baseline CapEx. Full redevelopment (£500m+) would require external financing or dilution.
2. **Regulatory Tightening:** FFP enforcement could constrain investment capacity.
3. **Continued European Underperformance:** Missing Champions League again triggers negative feedback loop.
4. **Macro Headwinds:** Sponsorship, broadcast, and retail exposed to consumer spending cycles.

Conclusion & Recommendation

Rating: UNDERWEIGHT / HOLD

Target Price: \$14.31

Manchester United is a world-class sporting and commercial brand, but current public equity valuation does not reflect underlying cash-generative capacity. Our 12-month DCF fair value of \$14.31 implies -31.5% downside.

The stock is best understood as a *call option on a take-private*, not a traditional equity. The INEOS stake at \$33/share has anchored valuations in private-market territory, creating a ceiling effect that disconnects from operational DCF metrics.

For institutional investors seeking traditional equity cash-flow yields, we recommend **Underweight/Hold**. Exposure is defensible only for long-duration, optionality-focused “trophy asset” portfolios.